

Value State Identification Module (VSIM)

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Canonical Definition

Value State Identification Module (VSIM) is the first Core Module of the Value State Standard (VSS) within VFM® — Value Flow Mechanisms Architecture.

VSIM governs the identification of the specific current value condition that must be examined as a Value State Candidate before that condition can be classified, formally determined, assessed for transition readiness, and recorded.

The Module establishes the reference relationship between:

Governed Value → Value Context → Reference Point → Observed Value Condition

→ Value State Candidate

Its purpose is to ensure that value-state governance begins with an explicitly identified condition rather than an assumed, inherited, outdated, or context-free statement about value.

VSIM does not determine the final value state.

It establishes what current value condition is being submitted to state governance.

Architectural Position

VSIM is the first module within VSS.

It receives the governed value basis established through the preceding VFM® lifecycle and creates the state candidate required for subsequent classification.

It precedes:

VSCM — Value State Classification Module

The internal sequence begins:

Governed Recognized Value → VSIM — Value State Identification → VSCM — Value State Classification

The distinction is essential:

Identifying the condition to be governed ≠ determining the final state.

Internal Module Flow

Governed Recognized Value → Value Reference Confirmation → Value Context Confirmation → Reference Point Definition → Current Condition Observation → Condition Boundary Identification → Condition Relevance Assessment → Value State Candidate Identification → Identification Record → VSCM — Value State Classification Module

Operational Space

VSIM governs the point at which an existing governed value becomes the subject of a current-state examination.

Its operational space includes:

value reference confirmation; governed value linkage; value-context linkage; current-condition identification; reference-point identification; temporal reference; operational reference; relevant condition identification; state-candidate creation; state-candidate boundary; context separation; condition observability; uncertainty identification; stale-state detection; conflicting-condition identification; identification traceability.

VSIM answers neither:

“What category does this state belong to?”

nor:

“What is the formally determined state?”

Those questions belong downstream.

Value Reference Confirmation

State identification must begin with a defined governed value.

The Module must therefore establish which value is being examined.

This may be value associated with:

an asset; a capability; a resource;

a technology; a relationship; a right; a process; a system; infrastructure; intellectual property; information; a digital object; an organizational capability; another value-bearing basis.

VSIM does not redefine the value.

It links the state-identification process to the value already established within the VFM® lifecycle.

Value Context Confirmation

The same object may carry different values under different contexts.

Therefore, VSIM must preserve the value context before identifying the state candidate.

For example:

Industrial Robot

may carry:

Production Value

Resale Value

Spare-Part Value

Strategic Capability Value

Training Value

These are not automatically the same governed value.

Consequently, the statement:

“The robot has zero value.”

is insufficient for governed state identification.

VSIM requires the more precise structure:

Value Object: Industrial Robot Value Context: Production Capability Reference Point: Current Production Configuration

Observed Condition: Cannot perform required production function

Only then can the relevant Value State Candidate proceed downstream.

Reference Point Definition

A current value condition must be anchored to a defined reference point.

The reference point may be:

current time; reporting date; accounting period;

mission phase; production configuration; system version; project phase; contractual state; market condition; operating environment; infrastructure configuration; technological generation; another governed reference condition.

Without this reference point, the identified state may already be obsolete when it enters downstream governance.

Current Condition Observation

VSIM identifies the observable or otherwise supportable condition of the governed value at the applicable reference point.

The condition may concern:

availability; usability; functionality; demand; utilization; strategic relevance; operational relevance; technological relevance; accessibility; compatibility; recoverability; constraint; inactivity; deterioration; absence of current value; another context-relevant condition.

VSIM does not yet translate the condition into a formal state classification.

It preserves the condition before classification.

Condition ≠ State

A central VSIM distinction is:

Observed Condition ≠ Governed Value State

For example:

“Machine is not currently used.”

is a condition.

It does not automatically mean:

ZVA™ — Zero Value Asset™

The machine may remain strategically necessary, readily deployable, valuable as backup capacity, transferable, or useful within another value context.

Likewise:

“Patent generates no current licensing revenue.”

does not automatically establish zero strategic value.

VSIM therefore prevents premature state assignment.

Value State Candidate

A Value State Candidate is the identified current value condition submitted for subsequent classification and determination.

A candidate should preserve, where applicable:

Governed Value Reference

Value Object Reference

Value Context

Beneficiary Context

Reference Point

Observed Condition

Relevant Dependencies

Material Constraints

Available Supporting Basis

Uncertainty

Identification Timestamp

The candidate is not yet the authoritative current value state.

Context Separation Principle

Where the same value-bearing object participates in multiple value contexts, VSIM should identify separate state candidates where materially necessary.

For example:

Technology Platform

may produce:

Commercial Value State Candidate

and separately:

Strategic Technology Value State Candidate

and separately:

Operational Capability Value State Candidate

This prevents one condition from incorrectly propagating across all value contexts.

Current State Identification ≠ Historical State

Historical information may help identify the present condition.

It must not replace it.

A previous record showing:

High Operational Value

does not establish that the same state exists today.

VSIM therefore distinguishes:

Historical Condition

from:

Current Condition Candidate.

This is particularly important in automated systems where old records may otherwise continue to be treated as current truth.

Current State Identification ≠ Predicted State

Forecasts may indicate that a value condition is likely to change.

VSIM does not convert that forecast into a current-state candidate unless the relevant condition actually exists at the applicable reference point.

Therefore:

Expected Future Condition ≠ Current Value Condition

and:

Predicted State ≠ Identified Current State.

Conflicting Conditions

Value-state identification may encounter conflicting information.

For example:

Financial Record: asset remains productive

while:

Operational Record: production capability has been unavailable for six months.

VSIM must preserve the conflict rather than silently selecting the more convenient source.

A conflicting state candidate may proceed with explicit uncertainty or require additional information before classification.

Unknown Condition $\neq$ Zero Value

Where the current condition cannot be established sufficiently, VSIM must permit an unresolved identification state.

Therefore:

Unknown $\neq$ Zero

Missing Data $\neq$ Zero

Unobserved $\neq$ Zero

Uncertain $\neq$ ZVA™

This prevents absent information from becoming an artificial zero-value determination.

Stale State Detection

VSIM should identify situations where a previously recorded state may no longer represent the current condition.

Potential stale-state indicators include:

expired reference period; material operational change; technology replacement; market change; contract termination; capability degradation; infrastructure change; new evidence; changed value context; changed beneficiary; restoration event; material external event.

The purpose is not to determine that the old state is wrong.

It is to determine that current-state identification must be performed again.

Multi-Level Identification

State candidates may exist at different organizational levels.

For example:

Component

→ Machine

→ Production Line

→ Factory

→ Enterprise Capability

VSIM must prevent a condition observed at one level from automatically becoming the state of another level.

A failed component does not automatically mean the production line has zero value.

Likewise, a profitable enterprise does not mean every underlying capability is value-producing.

Identification Granularity

VSIM should identify value conditions at the level necessary for meaningful downstream governance.

Excessive aggregation may hide:

dormant value; degraded value; zero-value assets; recoverable capabilities; critical dependencies; unused capacity; value concentration.

Excessive fragmentation may create unnecessary governance complexity.

The identification level should therefore correspond to the intended value-governance purpose.

Identification Basis

A Value State Candidate may be identified using relevant information such as:

operational records; financial information; utilization data; technical condition; system telemetry; market information; contractual information; production data; capability assessments; resource availability; infrastructure status; expert observations; external valuations; governed digital records.

VSIM does not take ownership of those information systems.

It governs how they are connected to the identification of the current value condition.

Identification Uncertainty

VSIM must preserve material uncertainty affecting the identified condition.

Uncertainty may concern:

incomplete information; conflicting information; timing; object configuration; operational availability; market relevance; dependency status; technological condition; context applicability.

A state candidate may remain usable with uncertainty attached.

The uncertainty must not disappear merely because the candidate moves downstream.

Minimum Implementation Framework

A minimum VSIM implementation should establish:

1. Governed Value Reference

Identify the governed value whose current condition is being examined.

2. Value Object Reference

Identify the value-bearing object, capability, resource, relationship, system, or other basis associated with the value.

3. Value Context Confirmation

Confirm the context within which the current value condition is being identified.

4. Reference Point Definition

Establish the temporal, operational, technological, contractual, mission, or other applicable reference point.

5. Current Condition Identification

Identify the materially relevant present condition of the governed value.

6. Condition Boundary

Determine the level and scope to which the identified condition applies.

7. Supporting Basis

Link the condition to available supporting information.

8. Uncertainty Identification

Record material uncertainty or conflicting information.

9. State Candidate Creation

Create an explicit Value State Candidate without prematurely determining its classification.

10. Identification Record

Preserve the candidate and its governing context for transfer to VSCM.

Governance Outputs

VSIM may produce:

Value State Candidate Value Reference Record Value Context Link Value Object Reference Value State Reference Point Current Value Condition Record Condition Boundary Record Supporting Basis Record State Identification Uncertainty Record Conflicting Condition Record State State Indicator Value State Identification Record

These outputs provide the governed input for:

VSCM — Value State Classification Module.

Use Case 1 — Banking: Identifying Hidden Value-

State Risk Before Credit Exposure

A bank has financed an industrial company with a large asset base.

The borrower's financial records still contain machinery, production infrastructure, intellectual property, inventories, software systems, and other assets with substantial recorded values.

A conventional portfolio view may therefore indicate that significant value remains available.

VSIM introduces a different examination.

For each materially relevant value-bearing basis, the bank can establish:

Governed Value → Credit-Relevant Value Context → Current Reference Point → Observed Current Condition

→ Value State Candidate

A production machine may still exist physically and remain on the borrower's balance sheet while no longer being compatible with the company's current production process.

Another machine may be idle but immediately deployable.

A patent may produce no revenue but remain strategically important.

A production line may be operational but dependent upon a supplier whose critical component is no longer available.

VSIM prevents all four conditions from being treated simply as:

“assets with value.”

It identifies the materially different current conditions before classification and formal state determination occur.

This can give the bank an earlier governance signal that the economic condition of the underlying value base may be diverging from its static recorded representation.

VSIM does not replace collateral valuation, accounting, credit models, or regulatory capital requirements.

It creates the identification layer required to ask a more fundamental question:

What is actually happening to the value underlying the exposure now?

Use Case 2 — Space Mission: Finding Value That

Can Be Removed Without Losing Mission

Capability

A space mission operates under severe constraints on:

mass; energy; computing capacity; storage; communication bandwidth; maintenance capacity; crew time; redundancy; mission cost.

As the mission evolves, systems and capabilities that were valuable during one phase may no longer create material value during another.

VSIM can continuously identify current value conditions across mission capabilities.

For example:

Capability A

may remain essential.

Capability B

may be dormant but critical as emergency redundancy.

Capability C

may no longer contribute to the current or future mission configuration.

Capability D

may have lost its original function but remain useful for diagnostics or scientific observation.

Without explicit value-state identification, all four capabilities may continue consuming mission resources merely because they still exist.

VSIM establishes:

Mission Value Context → Mission Phase → Capability Reference → Current Condition → Dependency Check

→ Value State Candidate

The downstream VSS modules can then determine whether a capability remains a Value Asset™, occupies another defined state, or may qualify as ZVA™ — Zero Value Asset™ within the relevant mission context.

This creates a practical path toward identifying where resources can potentially be removed, reassigned, deactivated, or preserved without confusing physical existence with mission value.

In resource-constrained environments, that distinction can translate directly into lower operating burden and better allocation of scarce mission resources.

Foundational Principles

A value state must be identified before it can be classified.

Observed condition is not automatically governed state.

Value state identification must remain connected to the governed value context.

A historical state is not automatically the current state.

A predicted state is not the current state.

Unknown condition is not zero value.

Physical existence does not establish current value condition.

One value-bearing object may require multiple state candidates across different value contexts.

State identification must occur at the level at which the relevant value condition actually exists.

The first requirement of current-state governance is to identify what condition is actually being governed now.

Canonical Closing Statement

Value State Identification Module establishes the entry point into Value State governance by identifying the precise current condition of governed value that must be examined before classification, determination, transition-readiness assessment, and state recording can occur. Through explicit linkage of governed value, value-bearing object, value context, reference point, observed condition, scope, supporting basis, uncertainty, state-state indicators, and multi-context distinctions, VSIM prevents historical records, predictions, accounting classifications, physical existence, missing information, or premature zero-value assumptions from being mistaken for the current governed state of value. By creating an explicit Value State Candidate, VSIM provides

the methodological foundation upon which the remaining Value State Standard modules can determine what state value actually occupies.

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Governed Links

→ [Value State Standard \(VSS\)](#)

→ [VFM® Architecture Map](#)

→ [Next: Value State Classification Module \(VSCM\)](#)

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